security he could offer to his integrity and capability and the financial prospects of his unit.

Talwar recalls how they started implementing the proposals in right earnest at the Madras LHO and were rewarded with encouraging results. S. Padmanabhan who was working as a Development Officer in the Development Department had an excellent rapport with Talwar. Since delegation of authority was limited in those days, and all sanctions for credit requests had to go to the level of the Deputy Secretary and Treasurer and above, there was considerable delay in sanctioning credit. To overcome this problem, Talwar orally delegated his powers to Padmanabhan. His response was typical of his style of working: 'Where the matter is urgent. I would like you to use your judgement and convey sanction up to the full extent of my powers, and if need be, even upto the S & T's powers; report the case the next day and I will have your action confirmed.'[26] Talwar was as good as his word and Padmanabhan exercised Talwar's powers in urgent cases.

However, on one occasion an error of judgement made Padmanabhan take a wrong decision. He spent the next few days wondering how to tell Talwar about it. When he finally did tell him, Talwar was upset, not because of the error of judgement, but because he had not been informed about it promptly. As Talwar tells it, he had raised three queries on the proposal put to him by Padmanabhan. When the latter read the queries, he was understandably nervous since he had already exercised Talwar's powers when he sanctioned the loan. When Padmanabhan told Talwar that this particular arrow had already left his bow, Talwar promptly cancelled his queries and approved the proposal. Padmanabhan says that after the matter had been sorted out, Talwar told him: 'Let not this setback stop you from taking decisions; continue to act as before and you will have my support.'[27]

The banking system in the 1960s was characterized by a primitive attitude to managerial accountability. Talwar saw this as a major barrier to the growth of small-scale industries and decided that so long as no *mala fide* was suspected, and the credit appraisal was in order, officers should not be held accountable for errors in judgment. It was also thanks to Talwar that the SBI saw a culture change from security-based lending to need-based lending. Had it not been for Talwar's missionary zeal in promoting the cause of small-scale industries, it is doubtful if SBI would have absorbed